

Databricks Sets the Bar; SNOW's Turn to Rerate

Databricks is raising \$3B, led by Coatue, at a \$188B valuation – a 40% step-up from the \$134B mark set in Dec 2025. Assuming a 65% revenue CAGR from FY26 to FY28, this implies ~17x FY28 rev. SNOW currently trades at just ~13x FY28 rev on a \$100B EV. We see SNOW as a key beneficiary of this read-through, as a rising tide in data cloud demand lifts multiple boats; even a discount at 15x would imply a \$310 stock and a ~\$115B EV. Reiterate Buy.

Higher growth rate, higher valuation. According to *The Information*, Databricks is raising a \$3B round, led by Coatue Management, at a \$188B valuation, a 40% step-up from the \$134B mark set in December. There were no fresh financial disclosures alongside the raise, but recall that as of mid-June, Databricks indicated that its annualized F1H27E revenue is expected to surpass \$6.9B, up ~80% y/y (~65% core, ~80% including LLM monetization), vs our SNOW F1H27E run rate of ~\$5.5B growing 32% y/y. Our what-if scenario below frames Databricks' implied FY28E revenue multiple across a 14-20x range on this valuation. Assuming Databricks compounds revenue at a 65% CAGR from FY26 to FY28E, the \$188B valuation implies ~17x FY28 revenue. SNOW currently trades at ~13x FY28 revenue on \$100B of enterprise value. We see SNOW as a beneficiary of this read-through, and even a discounted multiple at 15x would imply a \$310 stock at ~\$115B in enterprise value.

GPU demand triggered the fundraise. Databricks' CEO recently told CNBC that surging demand for both proprietary and open-source models has left the company running out of GPUs across multiple regions. "We nearly exhausted our GPU capacity in Asia, and demand is rising in countries including Japan, South Korea, the United States, and India. We therefore need to acquire a large number of additional GPUs, which requires significant funding. That demand was what triggered our latest fundraising round: we were inundated with customer requests and needed more GPU capacity".

Rising tide lifts multiple boats. We continue to believe the leading data analytics vendors, Databricks and SNOW, are best positioned to help organizations make sense of their business data and apply AI to run analytical workflows faster and more efficiently, and we expect momentum to build across the board. Databricks' Genie and SNOW's CoCo/CoWork are both gaining traction, with early adoption metrics inflecting. At the same time, we view the two companies' aggressive investment in AI-driven analytics as making the competitive landscape incrementally tougher for PLTR. In particular, Databricks' Genie Ontology adds an enterprise context layer and knowledge graph that could encroach on PLTR's core value proposition.

FY (Jan)	2025A	2026A	2027E	2028E
Rev. (MM)	3,626.4	4,683.9	6,098.4	7,713.6
Cons. Rev.	3,626.4	4,683.9	6,098.4	7,660.8
Cons. EPS	0.82	1.25	1.93	2.73
EPS	0.82	1.25	1.97	2.79

TARGET CHANGE	
RATING	BUY
PRICE	\$268.90*
PRICE TARGET % TO PT	↑\$310.00 (\$300.00) +15%
52W HIGH-LOW	\$284.99 - \$118.30
FLOAT (%) ADV MM (USD)	89.8% 1,710.36
MARKET CAP	\$100.8B
TICKER	SNOW

*Prior trading day's closing price unless otherwise noted.

FY (Jan)	CHANGE TO JEF _e		JEF vs CONS		
	2027	2028	2027	2028	
REV	NA	NA	NM	+1%	
EPS	NA	NA	+2%	+2%	
2027 (\$)	Q1A	Q2	Q3	Q4	FY
EPS	0.43	0.45	0.52	0.58	1.97
PREV					

Chart 1 - Databricks vs Snowflake: Key Metrics

Metrics	Databricks	Snowflake
FY24 Revenue (\$M)**	>\$1,600	\$2,667
% YoY Growth	>60%	38%
FY25 Revenue (\$M)**	>\$2,600	\$3,462
% YoY Growth	>60%	30%
FY26 Revenue (\$M)**	>\$4,100	\$4,472
% YoY Growth	>55%	29%
F1H27 Revenue Run Rate (\$M)**	>\$6,900	\$5,505
% YoY Growth	80%***	32%
Total Customers	20,000	33,912
>\$1M ABR Customers	>750	779
>\$10M ABR Customers	~80	64
# Customers	11,000	13,600
Net Retention Rate	140%	126%
Employees	>10,000	9,250
# ABR (\$M)	>\$1,700M	Not Disclosed
Data Warehousing ABR (\$M) - June '26	>\$1,500M	Not Disclosed
Data Warehousing ABR (\$M) - January '25	>\$800M	Not Disclosed
Data Warehousing ABR (\$M) - December '24	>\$600M	Not Disclosed
Data Warehousing ABR (\$M) - June '24	>\$400M	Not Disclosed

**FY24 Revenue
***80% core growth, 80% when including LLMs
Source: Jefferies, Company Data

Chart 2 - What-If Analysis: Databricks' Implied FY28E Revenue Multiple on \$188B Valuation

FY28-28E Rev CAGR	50%	55%	60%	65%	70%	75%	80%
Implied Multiple	20.4x	19.1x	17.9x	16.8x	15.9x	15.0x	14.2x

Source: Jefferies, company data

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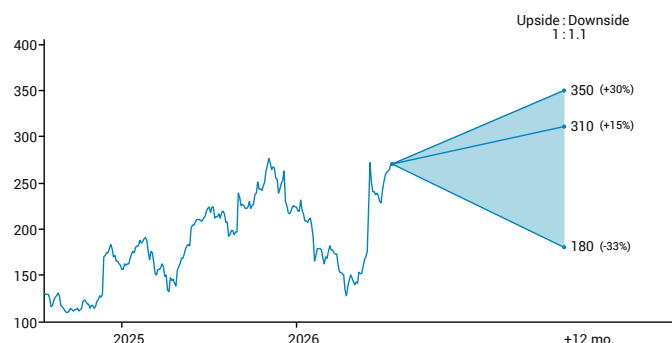
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The Long View: Snowflake

Investment Thesis

Snowflake is an early beneficiary of the cloud data warehousing space, and we see rapid growth sustainability on rising penetration among enterprises and potential expansion in the product offering to address adjacent workloads. We like: 1) best-in-class software growth rates; 2) significant room for profitability expansion following evidence of scale in FY21. Key risks: 1) narrowing of competitive differentiation as Redshift, Azure Synapse Analytics, and BigQuery add features/functionality; 2) more limited rev visibility vs traditional SaaS, given consumption-based business model; 3) aggressive valuation premium to high-growth software peers.

Risk/Reward - 12 Month View



Base Case, \$310, +15%

- Assumes FY27E/FY28E total rev growth of 30%/27%
- Assumes FY27E/FY28E gross margins of 72%/72%
- Assumes FY27E/FY28E FCF margins of 23%/24%
- PT of \$310 implies 15x FY28E revenue

Upside Scenario, \$350, +30%

- Assumes FY27E/FY28E total rev growth of >30%/>27%
- Assumes FY27E/FY28E gross margins of >72%/>72%
- Assumes FY27E/FY28E FCF margins of >23%/>24%
- PT of \$350 implies 17x FY28E revenue

Downside Scenario, \$180, -33%

- Assumes FY27E/FY28E total rev growth of <30%/<27%
- Assumes FY27E/FY28E gross margins of <72%/<72%
- Assumes FY27E/FY28E FCF margins of <23%/<24%
- PT of \$180 implies 9x FY28E revenue

Sustainability Matters

Top Material Issue(s): 1) Employee Engagement, Diversity & Inclusion: Snowflake fosters a culture of inclusion across a workforce that is diverse in many ways. Combined with its performance-based culture of individual accountability, it believes this will fuel innovation, encourage authenticity, and serve its customers by enabling every organization to become data-driven. **2) Data Security:** As a data company, Snowflake understands the importance of responsibly investing in the governance and technology required to protect data in an increasingly complex, global environment.

Company Target(s): 1) The co is in the early stages of developing a sustainability program and has identified three high-impact areas to address in its workplace operations: a) Energy management; b) GHG emissions (Scopes 1-3); c) Waste management solutions.

Qs to Mgmt: 1) What actions/steps is management taking to increase representation of minorities across its employee base? **2)** What cost savings do you expect from a more diverse workforce?

ESG Sector Deep Dive

Catalysts

- SNOW is likely to report F2Q27 results in late August
- Ramp in adoption of CoCo and CoWork, as well as Data Engineering solutions (Snowpark, Dynamic Tables, Notebooks and others)
- More proofpoints in successfully embedding AI in the GTM strategy

Chart 3 - Non-GAAP Income Statement

Non-GAAP Income Statement																	
Fiscal Quarters						Fiscal Quarters						Fiscal Quarters					
Calendar Quarter						Calendar Quarter						Calendar Quarter					
Days in Quarter						Days in Quarter						Days in Quarter					
FY25	F1Q26	F2Q26	F3Q26	F4Q26	FY26	F1Q27	F2Q27E	F3Q27E	F4Q27E	FY27E	F1Q27E	F2Q27E	F3Q27E	F4Q27E	FY28E		
366	Apr-25	Jul-25	Oct-25	Jan-26	365	Apr-26	Jul-26	Oct-26	Jan-27	365	Apr-27	Jul-27	Oct-27	Jan-28	365		
	89	92	92	92		89	92	92	92		89	92	92	92			
Total Revenue	\$3,626.4	\$1,042.1	\$1,145.0	\$1,212.9	\$1,284.0	\$4,683.9	\$1,391.0	\$1,486.1	\$1,566.6	\$1,654.7	\$6,098.4	\$1,772.0	\$1,887.5	\$1,976.8	\$2,077.3	\$7,713.6	
YoY	29.2%	25.7%	31.8%	28.7%	30.1%	29.2%	33.5%	29.8%	29.2%	28.9%	30.2%	27.4%	27.0%	26.2%	25.5%	26.5%	
QoQ		5.6%	9.9%	5.9%	5.9%		8.3%	6.8%	5.4%	5.6%		7.1%	6.5%	4.7%	5.1%		
Cost of Product Revenue	\$819.1	\$242.7	\$256.9	\$279.2	\$305.2	\$1,083.9	\$331.6	\$353.1	\$375.3	\$394.1	\$1,454.2	\$429.6	\$455.1	\$474.9	\$497.0	\$1,856.5	
% of Product Revenue	23.7%	24.3%	23.6%	24.1%	24.9%	24.2%	24.9%	24.9%	25.0%	24.9%	24.9%	25.2%	25.2%	25.0%	24.9%	25.1%	
Cost of Professional Service & Other Revenue	\$158.6	\$47.3	\$52.8	\$53.4	\$58.1	\$211.6	\$61.3	\$64.7	\$62.2	\$65.4	\$253.5	\$64.0	\$77.6	\$73.4	\$77.2	\$292.2	
% of Professional Services & Other Revenue	96.7%	104.4%	97.0%	97.9%	101.3%	100.0%	108.2%	95.0%	95.0%	95.0%	97.9%	95.0%	95.0%	95.0%	95.0%	95.0%	
Total Cost of Revenue	\$977.7	\$290.0	\$309.7	\$332.6	\$363.3	\$1,295.5	\$392.9	\$417.8	\$437.5	\$459.5	\$1,707.7	\$493.6	\$532.7	\$548.2	\$574.2	\$2,148.7	
% of Total Revenue	27.0%	27.8%	27.0%	27.4%	28.3%	27.7%	28.2%	28.1%	27.9%	27.8%	28.0%	27.9%	28.2%	27.7%	27.6%	27.9%	
Product Gross Profit	\$2,643.3	\$754.1	\$883.6	\$879.2	\$921.5	\$3,388.4	\$1,002.7	\$1,065.0	\$1,125.9	\$1,191.7	\$4,385.2	\$1,275.1	\$1,350.7	\$1,424.7	\$1,499.1	\$5,549.5	
Product Gross Margin	76.3%	75.7%	76.4%	75.9%	75.1%	75.8%	75.1%	75.1%	75.0%	75.1%	75.1%	74.8%	74.8%	75.0%	75.1%	74.9%	
Professional Services & Other Gross Profit	\$5.4	(\$2.0)	\$1.7	\$1.2	(\$0.8)	\$0.0	(\$4.6)	\$3.4	\$3.3	\$3.4	\$5.5	\$3.4	\$4.1	\$3.9	\$4.1	\$15.4	
Professional Services & Other Gross Margin	3.3%	(4.4%)	3.0%	2.1%	(1.3%)	0.0%	(8.2%)	5.0%	5.0%	5.0%	2.1%	5.0%	5.0%	5.0%	5.0%	5.0%	
Gross Profit	\$2,648.7	\$752.124	\$885.3	\$880.3	\$920.7	\$3,388.4	\$998.051	\$1,068.4	\$1,129.1	\$1,195.1	\$4,390.7	\$1,278.4	\$1,354.8	\$1,428.5	\$1,503.1	\$5,564.9	
% margin	73.0%	72.2%	73.0%	72.6%	71.7%	72.3%	71.8%	71.9%	72.1%	72.2%	72.0%	72.1%	71.8%	72.3%	72.4%	72.1%	
YoY	27.2%	23.5%	31.3%	28.1%	28.6%	27.9%	32.7%	27.9%	28.3%	29.8%	29.6%	28.1%	26.8%	26.5%	25.8%	26.7%	
Research & Development	\$883.0	\$238.8	\$247.1	\$254.5	\$263.2	\$1,003.7	\$284.3	\$325.5	\$336.8	\$355.8	\$1,302.4	\$389.8	\$405.8	\$425.0	\$436.2	\$1,656.9	
YoY	44.3%	17.6%	10.2%	13.3%	14.0%	13.7%	19.1%	31.7%	32.3%	35.2%	29.8%	37.1%	24.7%	26.2%	22.6%	27.2%	
QoQ		3.5%	3.5%	3.0%	3.4%		8.0%	14.5%	3.5%	5.6%		9.6%	4.1%	4.7%	2.6%		
% of Revenue	24.3%	22.9%	21.6%	21.0%	20.5%	21.4%	20.4%	21.9%	21.5%	21.5%	21.4%	22.0%	21.5%	21.5%	21.0%	21.5%	
Sales & Marketing	\$1,291.2	\$357.9	\$392.1	\$429.6	\$447.9	\$1,627.5	\$471.8	\$475.6	\$485.6	\$496.4	\$1,929.5	\$531.6	\$566.2	\$583.2	\$602.4	\$2,283.4	
YoY	24.0%	14.5%	26.9%	26.1%	36.2%	26.0%	31.8%	21.3%	13.1%	10.8%	18.6%	12.7%	19.1%	20.1%	21.4%	18.3%	
QoQ		8.8%	9.6%	9.6%	4.3%		5.3%	0.8%	2.1%	2.2%		7.1%	6.5%	3.0%	3.3%		
% of Revenue	35.6%	34.3%	34.2%	35.4%	34.9%	34.7%	33.9%	32.0%	31.0%	30.0%	31.6%	30.0%	30.0%	29.5%	29.0%	29.6%	
General & Administrative	\$242.8	\$63.8	\$68.5	\$64.9	\$70.4	\$267.5	\$76.1	\$81.7	\$86.2	\$91.0	\$335.0	\$97.5	\$100.0	\$98.8	\$103.9	\$400.2	
YoY	21.7%	11.6%	15.8%	3.1%	10.6%	10.2%	19.4%	19.3%	32.8%	29.3%	25.2%	28.1%	22.4%	14.7%	14.1%	19.5%	
QoQ		0.2%	7.4%	(5.2%)	8.4%		8.2%	7.4%	5.4%	5.6%		7.1%	2.6%	(1.2%)	5.1%		
% of Revenue	6.7%	6.1%	6.0%	5.4%	5.5%	5.7%	5.5%	5.5%	5.5%	5.5%	5.5%	5.5%	5.3%	5.0%	5.0%	5.2%	
Total Operating Expenses	\$2,417.0	\$660.5	\$707.7	\$749.0	\$781.5	\$2,898.7	\$832.3	\$882.8	\$908.6	\$943.2	\$3,566.9	\$1,018.9	\$1,072.1	\$1,107.0	\$1,142.5	\$4,340.5	
YoY	30.4%	15.3%	19.5%	19.2%	25.4%	19.9%	26.0%	24.7%	21.3%	20.7%	23.0%	22.4%	21.4%	21.8%	21.1%	21.7%	
Operating Income	\$231.7	\$91.7	\$127.6	\$131.3	\$139.2	\$489.7	\$165.8	\$185.6	\$220.5	\$252.0	\$823.8	\$259.5	\$282.7	\$321.5	\$360.6	\$1,224.4	
YoY	0.9%	152.9%	191.6%	123.0%	49.9%	111.3%	80.8%	45.5%	67.9%	81.0%	68.2%	56.6%	52.3%	45.8%	43.1%	48.6%	
% margin	6.4%	8.8%	11.1%	10.8%	10.8%	10.5%	11.9%	12.5%	14.1%	15.2%	13.5%	14.6%	15.0%	16.3%	17.4%	15.9%	
Other Income	(\$35.3)	(\$28.1)	(\$5.0)	(\$2.1)	(\$24.1)	(\$59.2)	(\$9.6)	(\$1.0)	(\$1.0)	(\$1.0)	(\$12.6)	(\$1.0)	(\$1.0)	(\$1.0)	(\$1.0)	(\$4.0)	
Interest Expense	\$209.0	\$53.2	\$49.5	\$45.7	\$42.4	\$190.8	\$41.1	\$38.4	\$39.3	\$41.0	\$159.9	\$48.5	\$50.7	\$52.1	\$54.2	\$205.4	
Pre-tax Income	\$405.4	\$116.8	\$172.1	\$174.9	\$157.5	\$621.3	\$197.3	\$223.0	\$258.8	\$292.0	\$971.1	\$307.0	\$332.4	\$372.6	\$413.8	\$1,425.8	
Pre-tax Margin	11.2%	11.2%	15.0%	14.4%	12.3%	13.3%	14.2%	15.0%	16.5%	17.6%	15.9%	17.3%	17.6%	18.8%	19.9%	18.5%	
Provision for Income Taxes	\$105.4	\$29.2	\$43.1	\$43.7	\$39.4	\$155.3	\$36.8	\$55.7	\$64.7	\$73.0	\$230.3	\$76.8	\$83.1	\$93.2	\$103.4	\$356.5	
Effective Tax Rate	26.0%	25.0%	25.0%	25.0%	25.0%	25.0%	18.7%	25.0%	25.0%	25.0%	23.7%	25.0%	25.0%	25.0%	25.0%	25.0%	
Net income, Non-GAAP	\$300.0	\$87.6	\$129.0	\$131.3	\$118.1	\$466.0	\$160.5	\$167.2	\$194.1	\$219.0	\$740.9	\$230.3	\$249.3	\$279.5	\$310.3	\$1,069.4	
EPS, Non-GAAP	\$0.82	\$0.24	\$0.35	\$0.35	\$0.32	\$1.25	\$0.43	\$0.45	\$0.52	\$0.58	\$1.97	\$0.61	\$0.65	\$0.73	\$0.80	\$2.79	
Basic Shares	364.3	332.7	335.2	339.6	342.3	372.7	345.4	375.0	376.5	378.5	376.3	380.5	382.5	384.5	386.5	383.5	
Diluted Shares	364.3	370.9	372.4	373.4	374.0	372.7	375.0	375.0	376.5	378.5	376.3	380.5	382.5	384.5	386.5	383.5	

Source: Jefferies, Company Data

Chart 4 - Base Case DCF

Snowflake (NYSE: SNOW)
Discounted Cash Flow Analysis

	Forecast	Transition	Terminal
Current Risk-free Rate of Return	3.50%	3.50%	3.50%
Historical Risk-free Rate of Return	5.00%	5.00%	5.00%
Beta	1.25		1.00
Market Rate of Return	11.50%	11.50%	11.50%
Cost of Equity	11.63%		10.00%
Growth Rate	As Modeled		5.00%

SCENARIO 2:

	FORECAST PERIOD				TRANSITIONARY PERIOD				TERMINAL	
	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E Perpetuity
Current Risk-free Rate of Return	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%
Historical Risk-free Rate of Return	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%
Beta	1.25	1.25	1.25	1.25	1.21	1.17	1.13	1.08	1.04	1.00
Market Rate of Return	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%	11.5%
Cost of Equity	11.6%	11.6%	11.6%	11.6%	11.4%	11.1%	10.8%	10.5%	10.3%	10.0%
FCF Growth Rate	20.4%	64.6%	55.0%	51.0%	43.1%	35.1%	27.2%	19.3%	11.3%	3.4%
Diluted Shares at Year-end	376.3	383.5	389.3	393.2	396.5	399.1	401.1	402.4	403.1	403.1
Share Growth %	1.0%	1.9%	1.5%	1.0%	0.8%	0.7%	0.5%	0.3%	0.2%	0.0%
Free Cash Flow to Enterprise (\$M)	1,133.2	1,864.9	2,890.5	4,364.7	6,244.3	8,438.0	10,732.7	12,799.8	14,249.4	14,732.4
Free Cash Flow to Enterprise per Share	3.0	4.9	7.4	11.1	15.7	21.1	26.8	31.8	35.3	36.5
NPV of Free Cash Flow to Enterprise per Share	2.9	4.1	5.6	7.6	9.7	11.9	13.7	15.0	15.4	223.6
Cumulative NPV of Free Cash Flow to Enterprise per Share	2.9	7.0	12.6	20.2	29.9	41.7	55.5	70.5	85.9	309.4
Cumulative NPV of FCFE per Share									309.43	
Total NPV per Share									\$309.88	

Source: Jefferies

Company Description

Snowflake

Snowflake provides enterprises with highly scalable data management solutions for use cases that include data warehousing and data science. The company's offering is offered as SaaS-only and can be deployed on AWS, Azure and GCP.

Company Valuation/Risks

Snowflake

Our DCF-based price target of \$310 implies a 15x multiple of FY28E total rev. Risks include: 1) sustained competitive differentiation as Redshift, Azure Synapse Analytics and BigQuery fail to add similar functionality/pricing models; 2) gross margin upside as SNOW procures infrastructure at attractive rates and benefits from scale; 3) growth upside supports the stock to the downside; 4) premium valuation.

Alphabet, Inc.

Our \$445 PT is based on 20x EV/EBITDA our forward NTM estimates, which is above the 12.5x 10-year historical average given its superior fundamentals relative to peers. Risks include impact from macro, regulatory overhang, margin pressure from ongoing investments, and impacts from shift toward generative AI, mobile, in-app, and voice-to-core search.

Amazon.com, Inc

Valuation: Our \$320 PT is based on ~14.7x 2027E EV/EBITDA. **Risks:** Ongoing need to invest keeps a lid on margin expansion; regulatory pressure leads to increasing costs; macroeconomic headwinds cause top-line growth to slow.

Microsoft Corporation

Our base case PT of \$575 is based on 30x our FY27 EPS. Key risks include the durability of M365 commercial and risks related to revenues and margins as MSFT transitions to the AI.

Palantir Technologies Inc

Our DCF-based price target of \$70 implies a 15x multiple of our CY27 revenue estimate. Upside risks include 1) faster-than-expected monetization of Artificial Intelligence Platform (AIP); 2) sustained commercial momentum across Foundry and AIP; and 3) potential for PLTR to successfully expand further mass market and grow its customer count.

Analyst Certification:

I, Brent Thill, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

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Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

Recommendation Published

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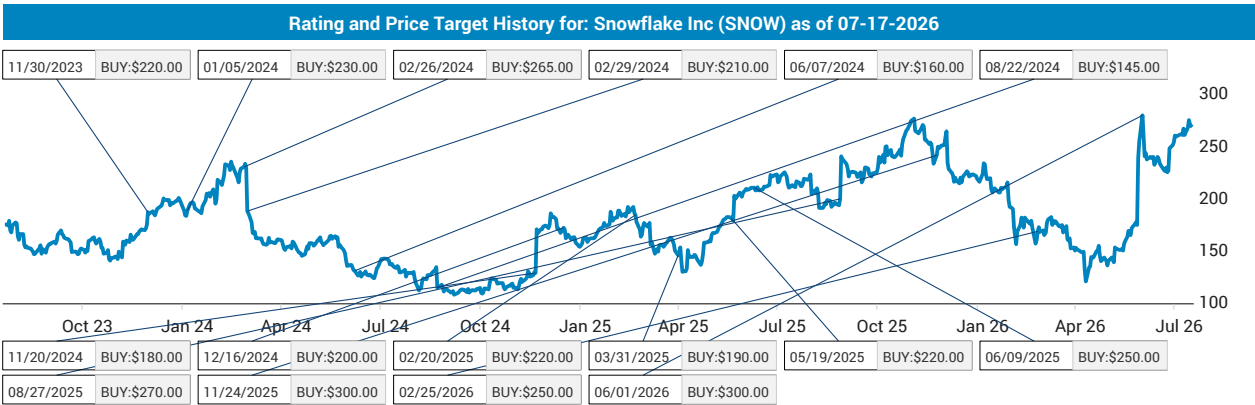
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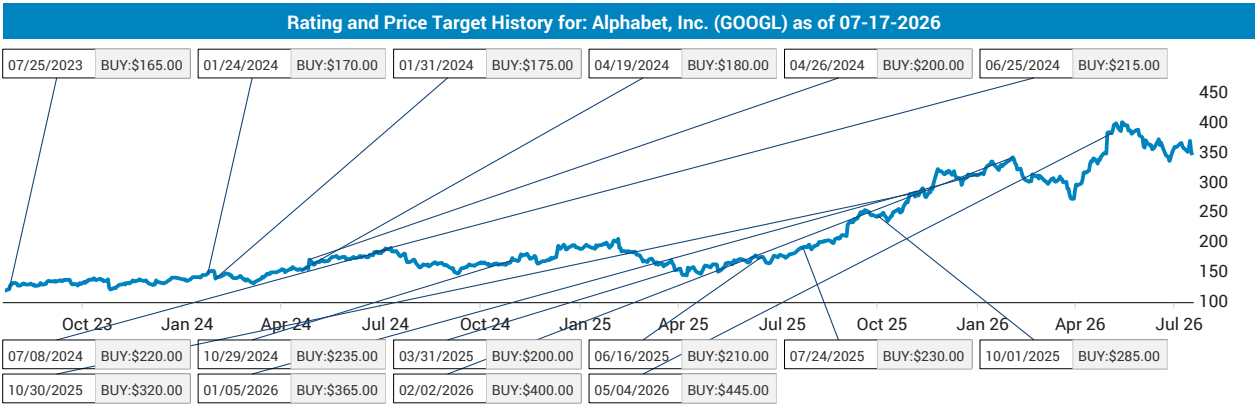
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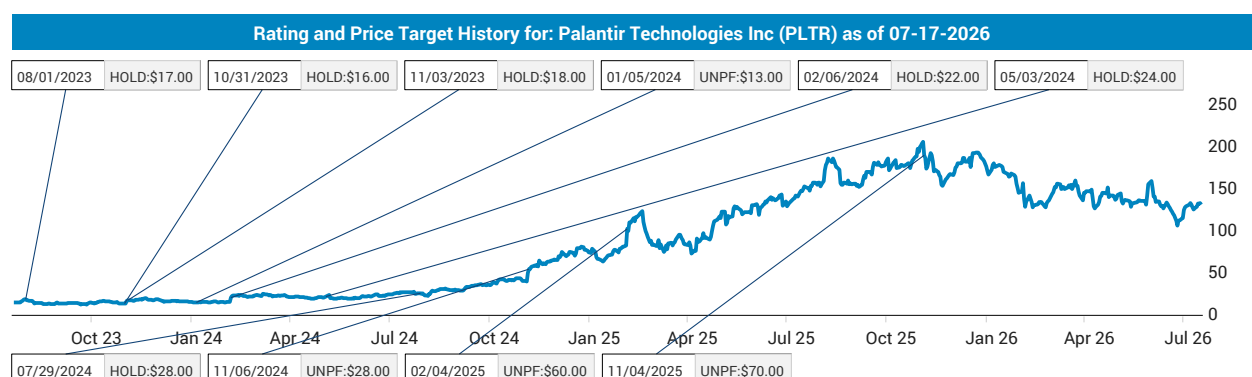
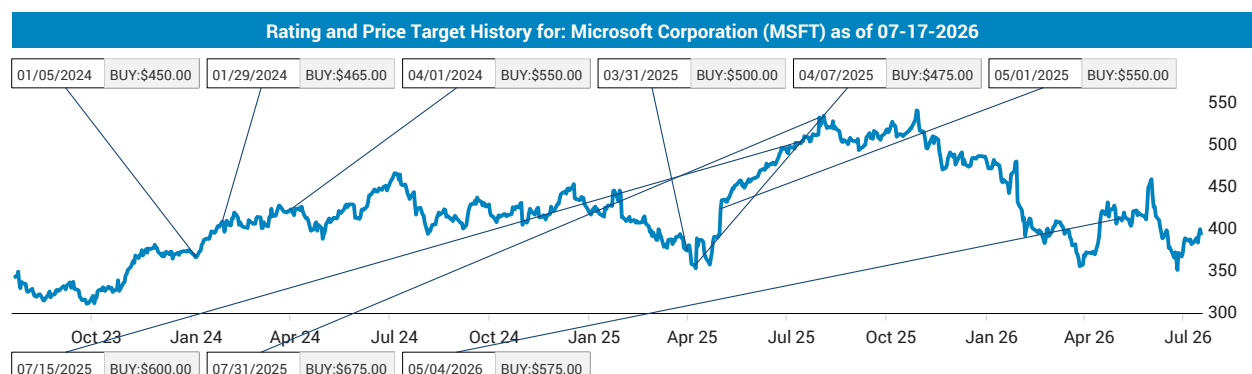
- Alphabet, Inc. (GOOGL: \$346.77, BUY)
- Amazon.com, Inc (AMZN: \$247.23, BUY)
- Microsoft Corporation (MSFT: \$393.82, BUY)
- Palantir Technologies Inc (PLTR: \$132.38, UNDERPERFORM)

• Snowflake Inc (SNOW: \$268.90, BUY)



Rayyan Matraji owns shares of Amazon.com common stock.





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Legend:

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D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

Distribution of Ratings

	IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent
BUY	2238	62.64%	387	17.29%
HOLD	1174	32.86%	94	8.01%
UNDERPERFORM	161	4.51%	0	0.00%

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